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Date	Particulars		Debit `	Credit `
December 31	Profit and Loss A/c Dr. To Depreciation A/c (Depreciation transferred to profit and loss account)	Dr.	750	 750
2017 December 31	Depreciation A/c (15,000 × 10/100) To Machinery A/c (Depreciation provided)	Dr.	1,500	 1,500
December 31	Profit and Loss A/c To Depreciation A/c (Depreciation transferred to profit and loss account)	Dr.	1,500	 1,500

Ledgers

Dr. **Machinery Account** **Cr.**

Date	Particulars	`	Date	Particulars	`
2016			2016		
July 1	To Cash A/c	15,000	Dec 31	By Depreciation A/c	750
			Dec 31	By Balance c/d	14,250
		15,000			15,000
2017	To Balance b/d	14,250	2017		
Jan 1			Dec 31	By Depreciation A/c	1,500
			Dec 31	By Balance c/d	12,750
		14,250			14,250
2018					
Jan1	To Balance b/d	12, 750			

Dr. **Depreciation Account** **Cr.**

Date	Particulars	`	Date	Particulars	`
2016			2016		
Dec 31	To Machinery A/c	750	Dec 31	By Profit and Loss A/c	750
		750			750
2017			2017		
Dec 31	To Machinery A/c	1,500	Dec 31	By Profit and Loss A/c	1,500
		1,500			1,500